



LARSEN & TOUBRO

Larsen & Toubro Limited
Secretarial Department
L&T House, Ballard Estate
Narottam Morarjee Marg
Mumbai - 400 001, INDIA
Tel: +91 22 6752 5656
Fax: +91 22 6752 5893
www.Larsentoubro.com

SEC/PAM/2017

November 15, 2017

The Secretary BSE Limited Phiroze Jejeebhoy Towers, Dalal Street, MUMBAI - 400 001 STOCK CODE: 500510	National Stock Exchange Of India Limited Exchange Plaza, 5th Floor Plot No.C/1, G Block Bandra-Kurla Complex Bandra (E), Mumbai - 400 051 STOCK CODE: LT
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Dear Sir,

Sub.: Investor Presentation

Pursuant to Regulation 46(2) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith a copy of updated Investor Presentation, which will be uploaded to our Investor Website <http://investors.larsentoubro.com/>

We request you to take note of the same.

Thanking you,

Yours faithfully,
for LARSEN & TOUBRO LIMITED


N. HARIHARAN
EXECUTIVE VICE PRESIDENT &
COMPANY SECRETARY
(ACS 3471)

Encl : as above



LARSEN & TOUBRO

*Builders to the
nation*

Investor Presentation

Q2/H1 FY18

November 11, 2017



This presentation contains certain forward looking statements concerning L&T's future business prospects and business profitability, which are subject to a number of risks and uncertainties and the actual results could materially differ from those in such forward looking statements.

The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding fluctuations in earnings, our ability to manage growth, competition (both domestic and international), economic growth in India and the target countries for exports, ability to attract and retain highly skilled professionals,

time and cost over runs on contracts, our ability to manage our international operations, government policies and actions with respect to investments, fiscal deficits, regulations, etc., interest and other fiscal costs generally prevailing in the economy. Past performance may not be indicative of future performance.

The company does not undertake to make any announcement in case any of these forward looking statements become materially incorrect in future or update any forward looking statements made from time to time by or on behalf of the company.



L&T Overview

Business Overview

Group Performance

The Environment & the Outlook

India's largest E&C company with interests in Projects, Infrastructure Development, Manufacturing, IT & Financial Services



Professionally
Managed Company



FY 17 Group
Revenues: ₹ 1100 Bn
(approx. US\$ 17 Bn)

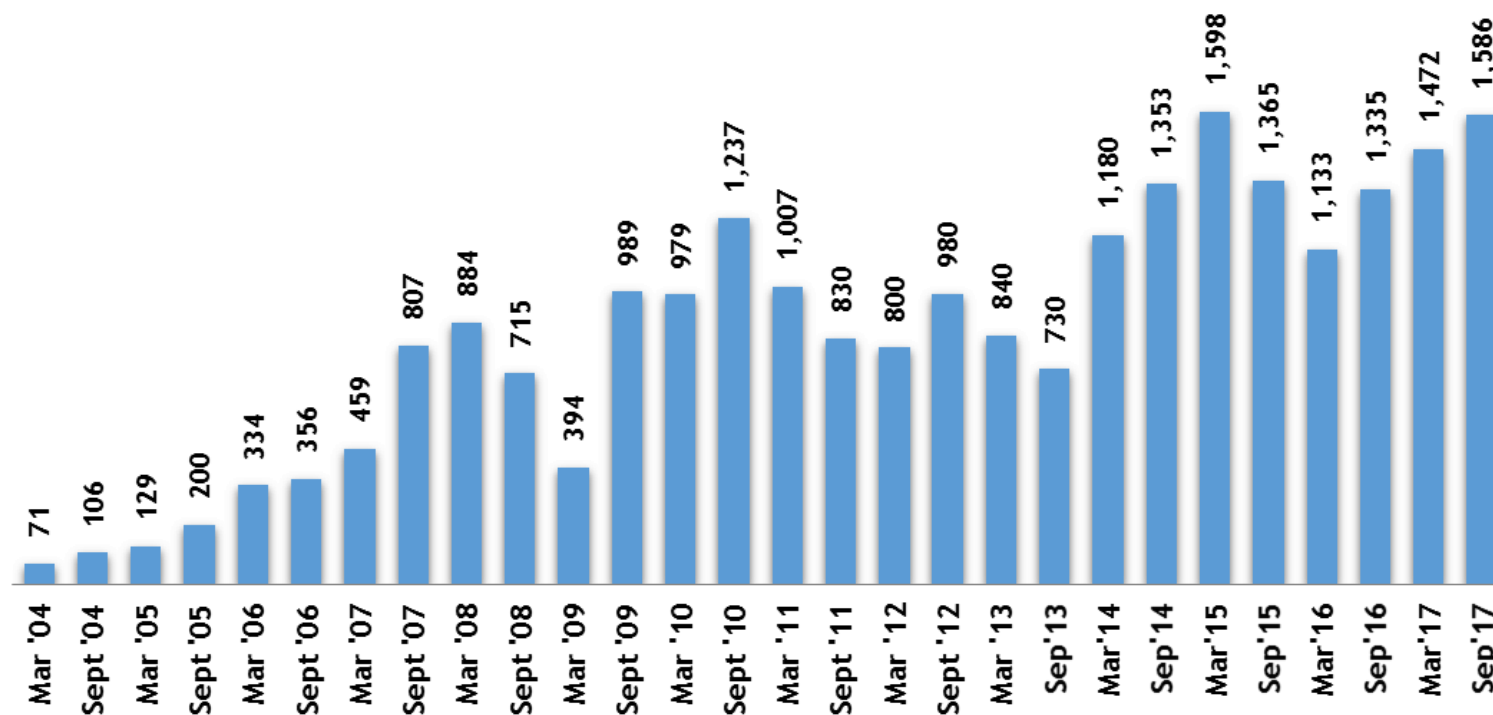


Market Cap
(10^h Nov, 2017):
₹1770 Bn
(approx. US\$ 27 Bn)

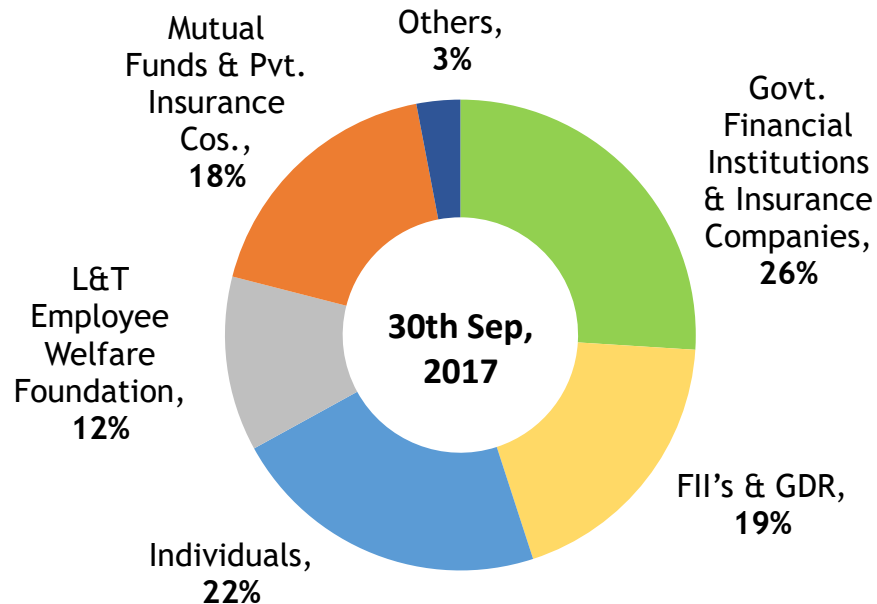


Credit Ratings
CRISIL: AAA / Stable
ICRA: AAA (Stable)

L&T Market Cap (Amt. ₹ Bn)



L&T - Shareholding Pattern



Major Institutional Shareholders	% Shares
Life Insurance Corporation of India	17.6%
Administrator of the SUUTI	4.0%
HDFC Mutual Fund	3.8%
ICICI Prudential Mutual Fund	2.5%
ICICI Prudential Life Insurance	1.9%
General Insurance Corp. of India	1.8%
Government of Singapore	1.4%
SBI Mutual Fund	1.2%

- Listed with BSE & NSE
- GDRs listed with LSE and LuxSE
- L&T is one of the most widely held listed companies in India
- No promoter holding
- Uninterrupted Dividend payment record since 1946

Experienced Management Team

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A M Naik

Non-Executive Chairman

- BE [Mech]
- Joined L&T in March 1965
- Diverse and vast experience in general management, Technology and E&C



S. N. Subrahmanyam

Chief Executive Officer and Managing Director

- B.SC ENGG (CIVIL), MBA (Finance)
- Joined L&T in November 1984
- Vast experience in Design & Build (D&B) Contracts, PPP Projects, Engineering and Construction Industry



R Shankar Raman

Whole-time Director & Chief Financial Officer

- B.Com, ACA, CWA (GRAD)
- Joined L&T Group in November 1994

Vast experience in Finance, Taxation, Insurance, Risk Management, Legal and Investor Relations



Shailendra Roy

Whole-time Director & Sr. Executive Vice President (Power, Heavy Engg. & Nuclear)

- B.Tech
- Joined L&T in 2004

Vast experience in Thermal Power, Heavy Engineering, Nuclear Business



D. K. Sen

Whole-time Director & Sr. Executive Vice President (Infrastructure)

- B.SC ENGG (CIVIL), MBA (Finance)
- Joined L&T in 1989

Vast experience in Design & Engineering, Business Development, Tendering and construction



M. V. Satish

Whole-time Director & Sr. Executive Vice President (Building, Minerals & Metals)

- BE (Civil)
- Joined L&T in 1980

Vast experience in Construction, Business Development, Contracts Management and Property Development in India and GCC region



J.D. Patil

Whole-time Director & Sr. Executive Vice President (Defence Business)

- M.Tech- IIT, Mumbai
- Joined L&T in 1978

Vast experience in leading high technology interdisciplinary strategic programs across defence & aerospace sector



Subramanian Sarma

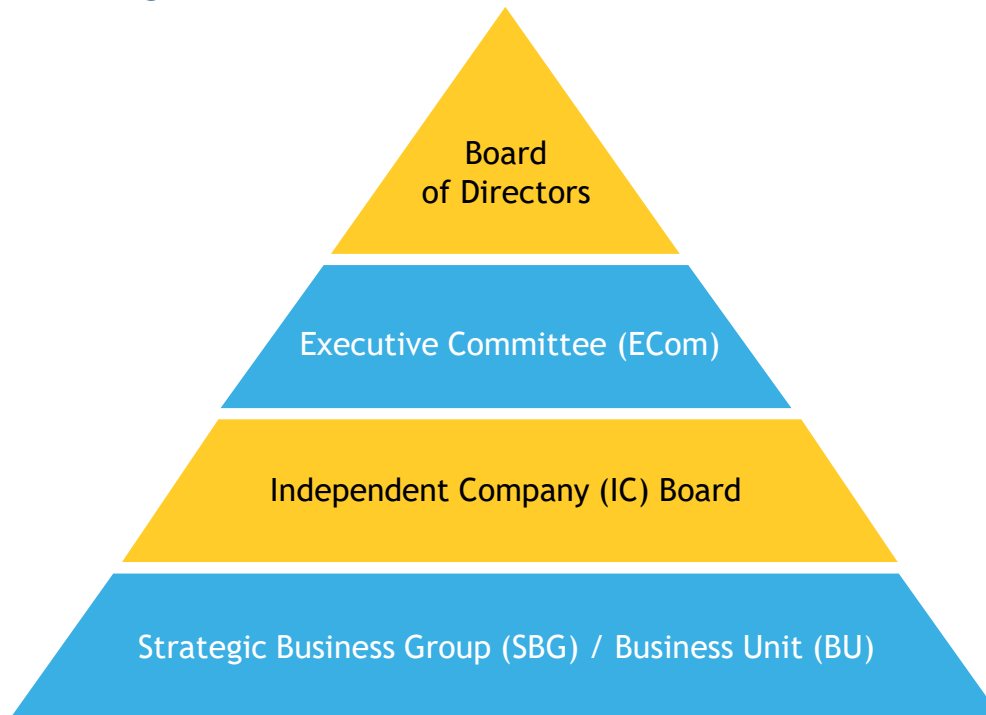
Non-Executive Director

- B.Tech (Chem.),
- M.Tech – IIT, Mumbai
- Joined L&T Group in 2015

Vast experience in managing large business portfolios in energy sector

L&T's essential character revolves around values based on transparency, integrity, professionalism and accountability.

Four-tier Governance Structure



Sustainability Report 2016 released with Sustainability Roadmap 2021

‘GRI Checked’ externally assured & ‘In Accordance - Comprehensive’
highest level of disclosure in public domain

Thrust Areas:

- Energy Conservation
- Renewable Energy
- GHG Emissions
- Water Efficiency
- Material Management
- Green Buildings



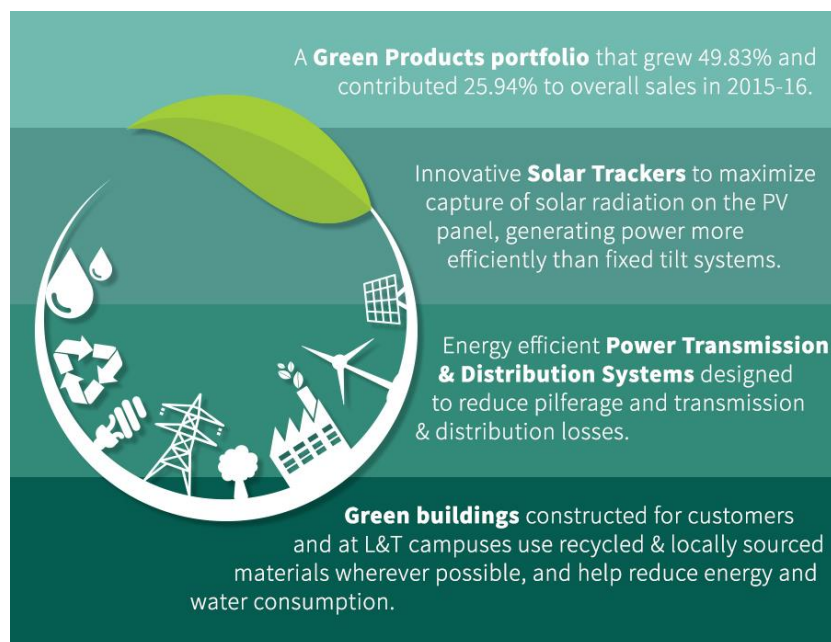
Global Compact
Network India

MEMBER OF
**Dow Jones
Sustainability Indices**
In Collaboration with RobecoSAM



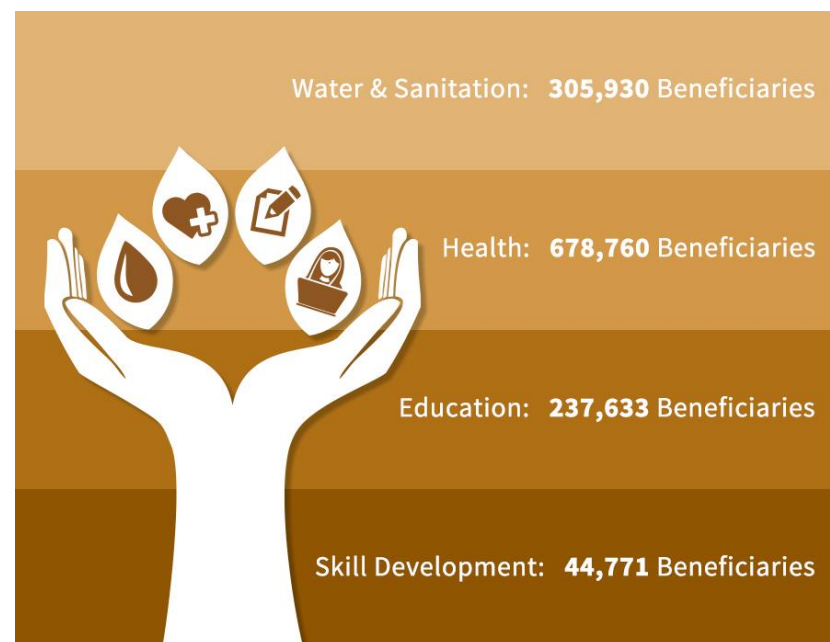
Green Product Portfolio

- 17 Green Buildings at L&T Campuses + 49.2 million sq. ft. constructed for clients
- Over 76 million units of energy conserved cumulatively
- Over 60,900 tons of CO2 emissions avoided.



CSR Highlights

- Theme: Building India's social infrastructure
- Working in 3 states across India on Integrated Community Development Programmes
- Aligned with Sustainability Development Goals (SDGs)





L&T Overview

Business Overview

Group Performance

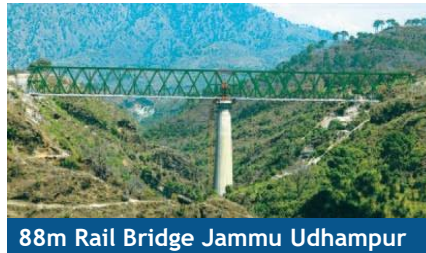
The Environment & the Outlook



Vizag Steel Plant



Turbine Rotor, Gujarat



88m Rail Bridge Jammu Udhampur



Wankhede Stadium, Mumbai



Baha'i Temple, Delhi



Mumbai International Airport



Oil & Gas Equipment



Vivekanand Bridge, Kolkata



Kakrapar Nuclear Power Plant, Guj



ITC Grand Chola Hotel, Chennai



Sri Sathya Sai Whitefield Hospital



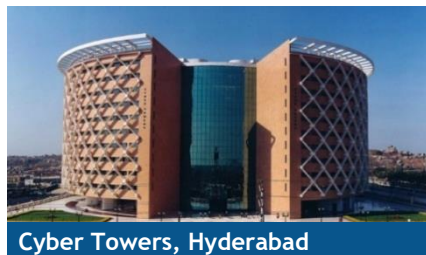
Srinagar Hydro Electric Plant



Vacuum Column, Paradip Refinery



2x384 MW CCPP, Vemagiri, A.P.



Cyber Towers, Hyderabad



Water Treatment Plant, Barmer

International Footprint - Marquee Jobs



Stadium at Barbados



Salalah Airport, Oman



Twin Towers, Dubai Marina



NMC Speciality hospital, Abu Dhabi



Bhukara Hotel, Uzbekistan



World's Longest Conveyer, Bangladesh



Bulk Cement Terminal, Colombo



Fabrication Facility, Oman



Punatsangchhu HEP, Bhutan



Sheikh Khalifa Interchange, UAE



Coal Gasifier for China



Transmission Lines, Fujirah, Dhaid



Water Treatment Plant, Doha



Petronas Refinery, Malaysia

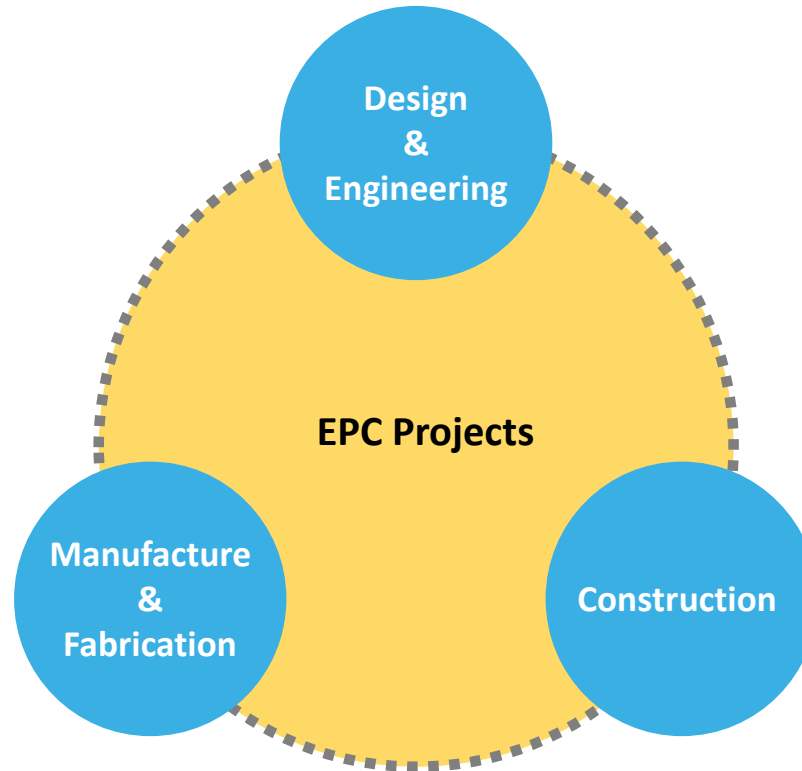


Bi-metallic Urea Stripper for Saudi



MV Switchgear Factory, Malaysia

One of Asia's largest vertically integrated E&C Companies



Single point responsibility for turnkey solutions

Quality Customer Mix



Indian
Coastguard



Multiple Alliances & Joint Ventures

Alliances

IHI



Westinghouse

Technip



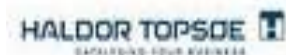
HITACHI



Rolls-Royce



ATOMSTROYEXPORT



AKER KVÆRNER

VOITH SIEMENS
HYDRO POWER GENERATION

TOYO ENGINEERING CORPORATION



sojitz

Pre Qualifications

AREVA



Stamicarbon



UOP

Lurgi

PARSONS

KBR

Joint Ventures



CHIYODA

MITSUBISHI HITACHI POWER SYSTEMS

SapuraCrest
Petroleum

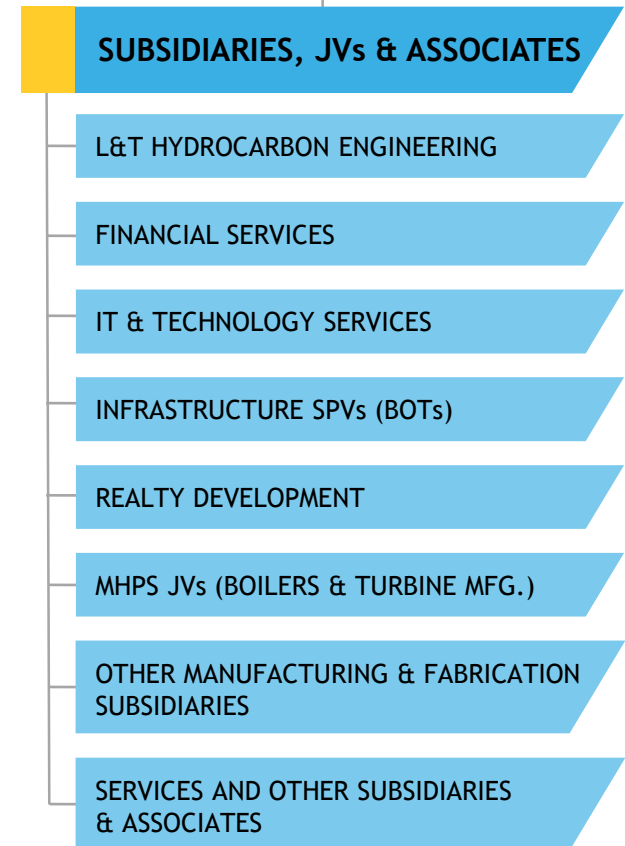
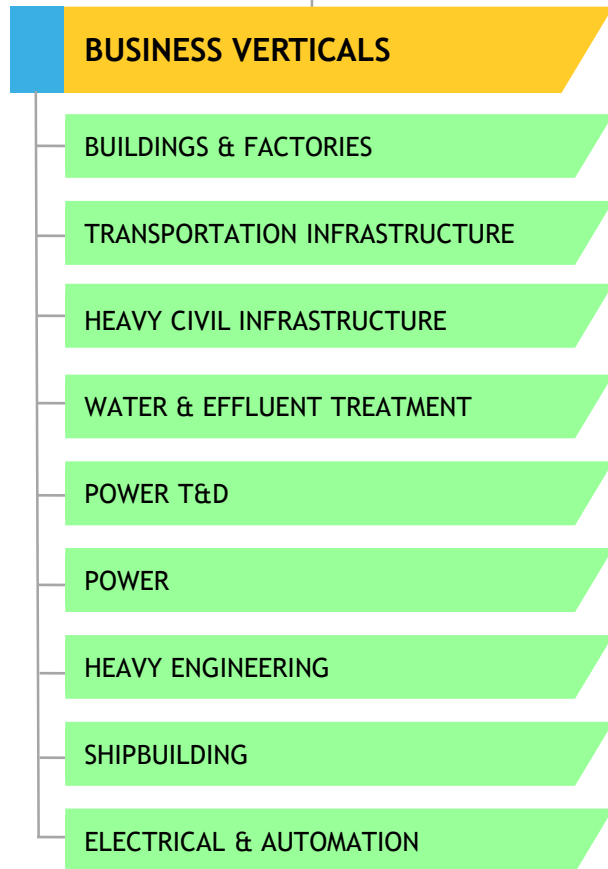


Befula Investments

KOBE STEEL, LTD.

Note: Some of these are project specific alliances & pre qualifications

LARSEN & TOUBRO LTD.





L&T Overview

Business Overview

Group Performance

The Environment & the Outlook

Q2

Order Inflow
-8%

Order Book
+2%

Revenue
+6%

EBIDTA
+28%

PAT*
+63%



Strong Operational Parameters in challenging times

* excluding exceptional items

Key Financial Indicators

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Amount in ₹ bn

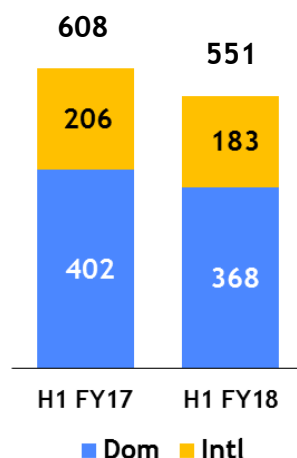
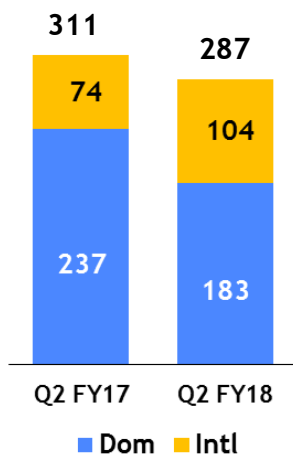
Q2 FY17	Q2 FY18	Var	Particulars	H1 FY17	H1 FY18	Var
311	287	-8%	Order Inflow	608	551	-9%
			Order-Book	2518	2575	2%
250	264	6%	Revenue from Operations	469	504	8%
23	30	28%	EBITDA	42	50	19%
10	17	63%	Recurring PAT	16	26	57%

			Particulars	Mar-17	Sep-17	Var
			Net Worth	502	508	+6 bn
			Borrowings	940	1028	+88 bn
			Gross Debt / Equity	1.75	1.87	+0.12x

Q2/H1 FY18 Order Inflow/Order Book

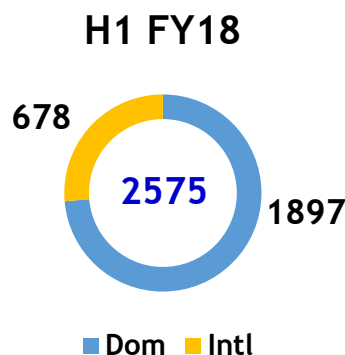
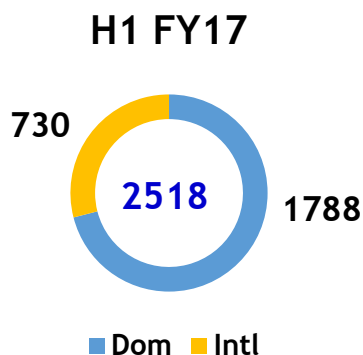
Amount in ₹ bn

Order Inflow



- Order Inflow continues to reflect subdued investment environment
- Public sector continues to drive domestic capex
- International order inflow stable due to Hydrocarbon wins
- Large and diverse order book mitigates cyclical volatility

Order Book



Group Performance - Sales & Costs

Q2 FY17	Q2 FY18	% Var	₹ Billion	H1 FY17	H1 FY18	% Var	FY17
250	264	6%	Revenues	469	504	8%	1,100
165	167	1%	MCO Exp.	301	320	6%	727
14	15	12%	Fin. Charge Opex*	27	29	8%	54
34	38	10%	Staff Costs	69	73	7%	139
14	15	6%	Sales & Admin.	30	32	7%	70
227	235	3%	Total Opex	427	454	6%	989

- Q2 Revenue growth led by Water, Heavy Engg and Services businesses
- MCO charge contained through in-line execution and operational efficiencies
- Staff cost rises on pay revision and scaling up in growth segments
- SGA increase on higher credit costs in Financial Services business

* Finance cost of financial services business and finance lease activity

Group Performance - EBITDA to PAT

Q2 FY17	Q2 FY18	% Var	₹ Billion	H1 FY17	H1 FY18	% Var	FY17
23	30	28%	EBITDA	42	50	19%	111
(3)	(4)	16%	Fin. Cost	(7)	(8)	14%	(13)
(5)	(4)	-6%	Depreciation	(9)	(10)	6%	(24)
5	4	-11%	Other Income	8	8	4%	14
(7)	(5)	-20%	Tax Expense	(12)	(10)	-18%	(20)
(2)	(1)		JV/S&A PAT Share	(3)	(1)		(4)
(1)	(2)	106%	Non-controlling Interest	(2)	(3)	97%	(4)
10	17	63%	Recurring PAT	16	26	57%	59
4	1	-66%	Exceptional items	4	1	-66%	1
14	18	27%	Reported PAT	20	27	33%	60

- EBITDA growth reflective of improved profitability for reporting period
- Interest cost is commensurate with level of borrowings
- Other Income mainly comprises treasury earnings
- JV/S&A PAT variation due to improved business performance
- Higher NCI profits arising from equity stake dilution and increased net income
- Exceptional income includes profit on divestment of Cutting Tools business

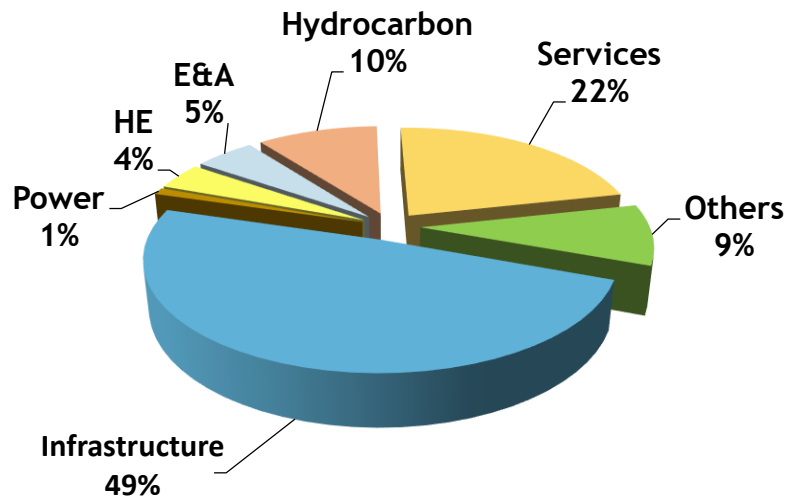
Segment Performance Analysis

 Infrastructure	 Power	 Heavy Engineering	 Electrical & Automation
Buildings & Factories	EPC - Coal & Gas	Process Plant Equipment	Electrical Standard Products
Transportation Infra	Thermal Power Plant Construction	Nuclear Power Plant Equipment	Electrical Systems & Equipment
Heavy Civil infra	Electrostatic Precipitators	Defence & Aerospace	Metering & Protection
Water & Effluent Treatment (WET)		Piping Centre	Control & Automation
Power T&D			
Smart World & Communication			

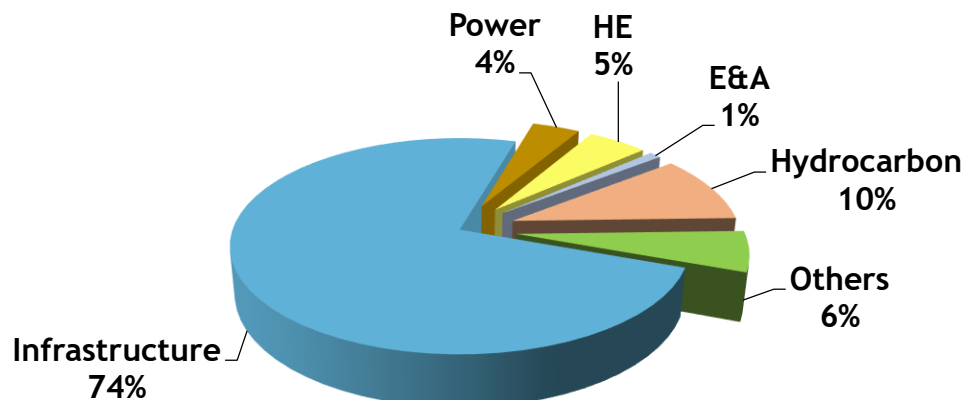
 Hydrocarbon	 Developmental Projects	 IT & TS	 Financial Services	Others
Onshore	Roads*	Information Technology	Rural Lending	Shipbuilding
Offshore	Metros	Technology Services	Housing Finance	Realty
	Ports		Wholesale Finance	Metallurgical & Material Handling
	Power		Asset Management	Industrial Products & Machinery

* Consolidated at PAT level

H1 FY18 Order Inflow/Order Book Break-up

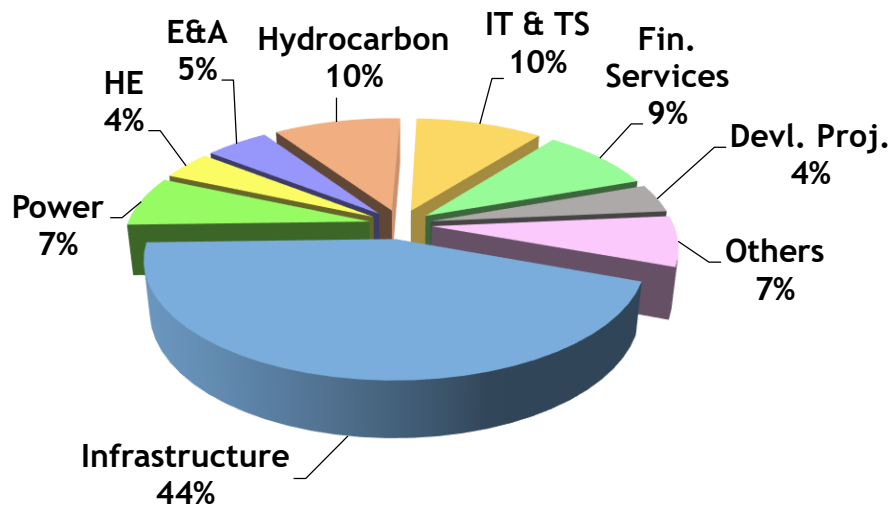


Order Inflow
₹551 Bn

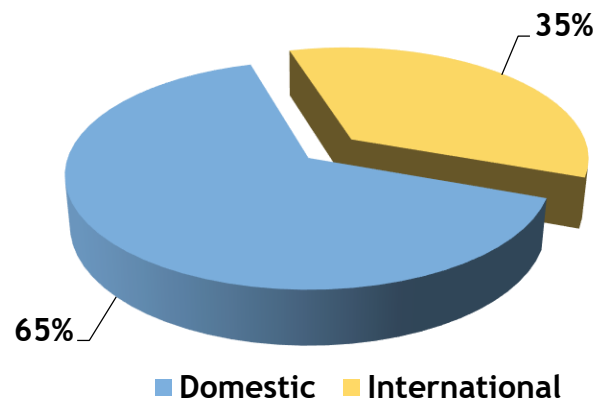


Order Book
₹2575 Bn

H1 FY18 Revenue Break-up

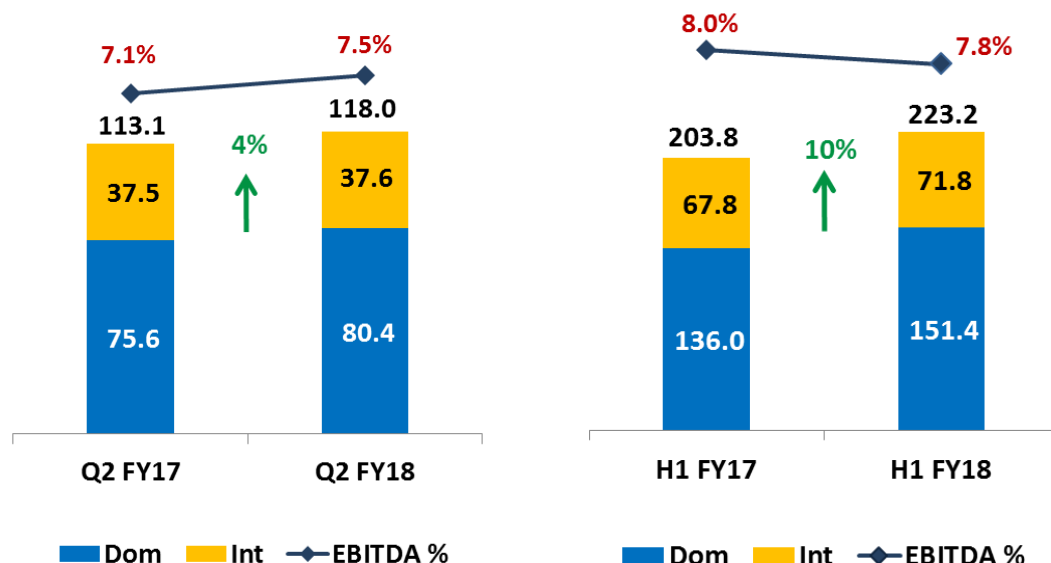


**Revenue
₹504 Bn**



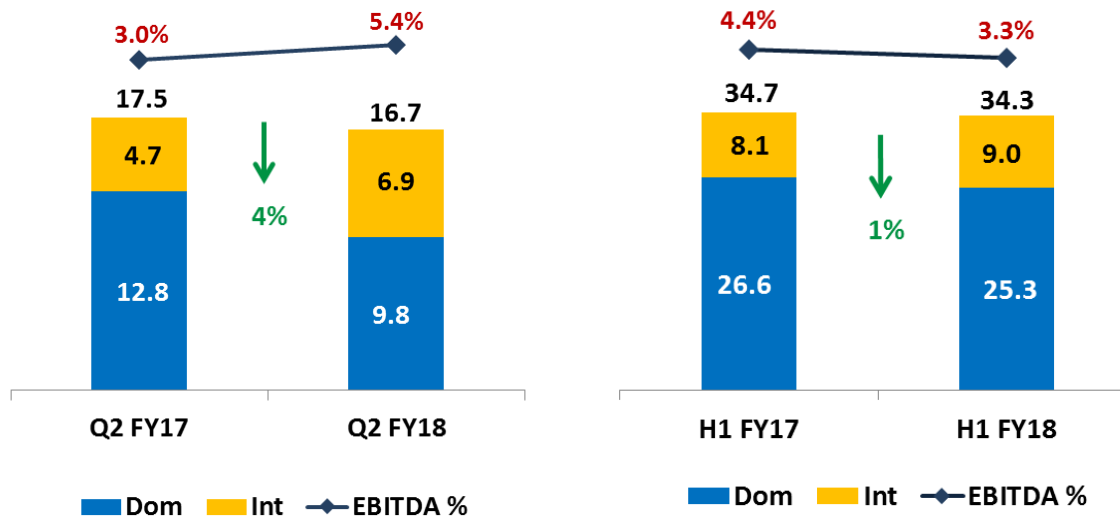
Amount in ₹bn

Net Revenue & EBIDTA Margin



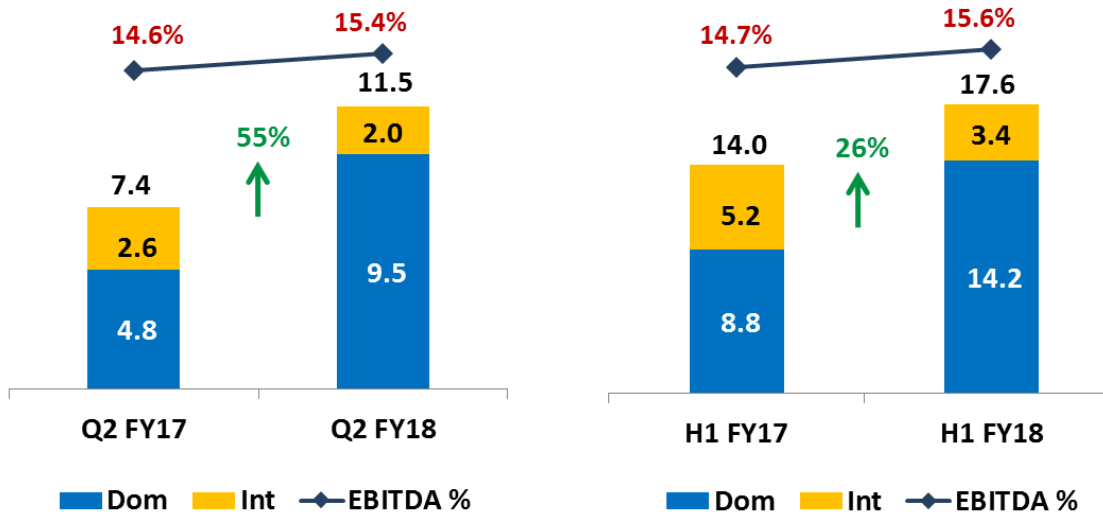
- Water and TI contribute to revenue growth
- Slower revenue growth in Q2 on GST transition and execution constraints in a few projects
- Q2 margin improvement led by job mix

Net Revenue & EBIDTA Margin



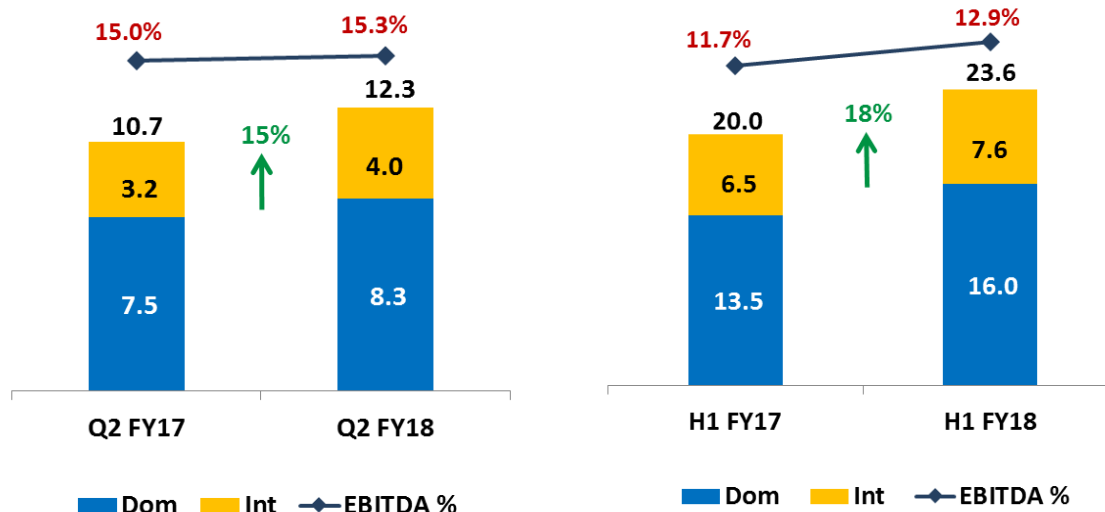
- Sectoral headwinds challenging business growth
- Q2 margin improvement driven by job mix
- Profits of JV companies are consolidated at PAT level under Equity method

Net Revenue & EBITDA Margin



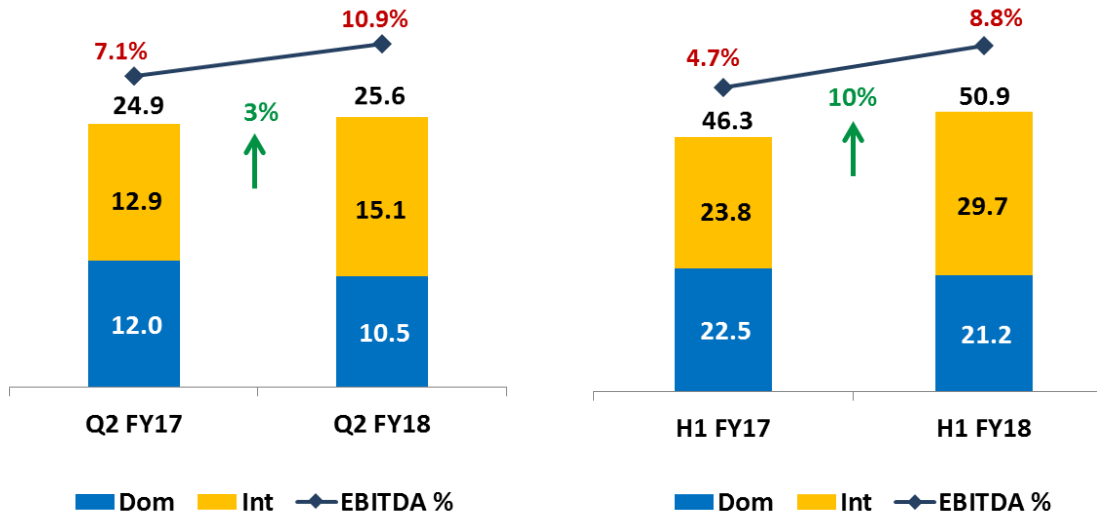
- Revenue growth led by strong execution progress in Defence jobs
- International revenue decline on lower PPN order-book
- Margin variation influenced by job execution stage

Net Revenue & EBITDA Margin



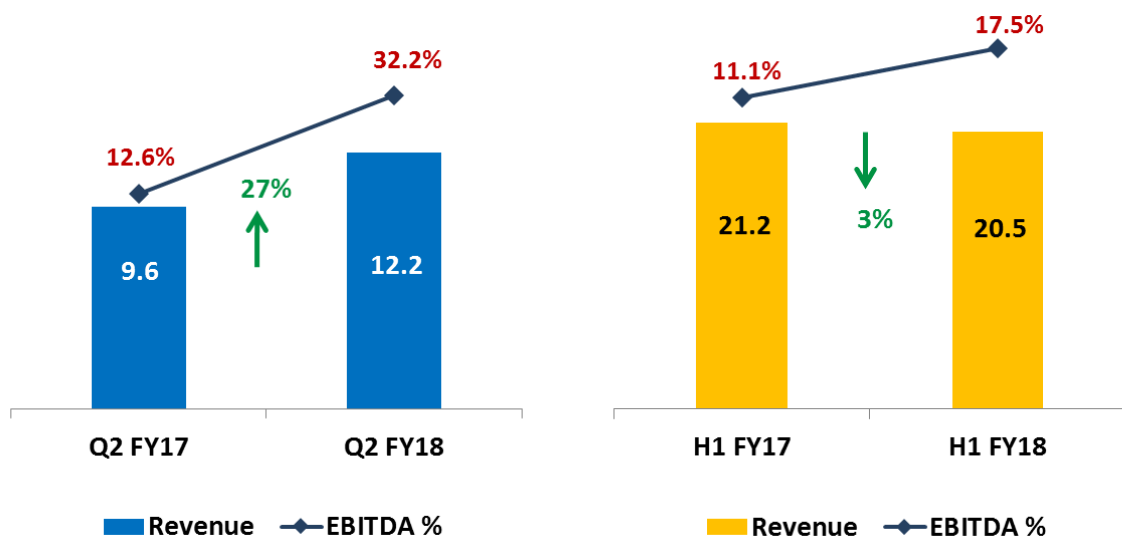
- Net Revenues adjusted for Excise Duty (subsumed in GST wef 1st July, 2017)
- Revenue growth enabled by uptick in MPS, Switchboards and C&A business
- H1 margin growth led by Standard Products and improved performance of Project business in GCC

Net Revenue & EBITDA Margin



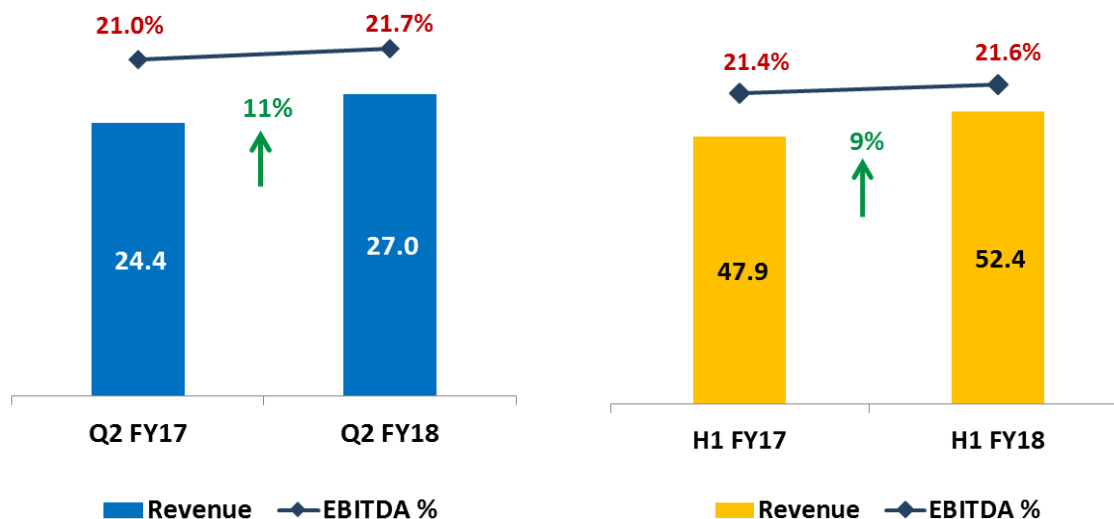
- Challenging Middle East legacy jobs closed out
- Revenue growth led by better progress on international jobs
- Improved margins on efficient execution and cost optimisation

Net Revenue & EBITDA Margin



- Segment includes Power Development, Hyderabad Metro and Kattupalli Port (currently under divestment process)
- IDPL (Roads & TL) consolidated at PAT level under Equity method
- Revenues and margins benefit from favourable supreme court judgement

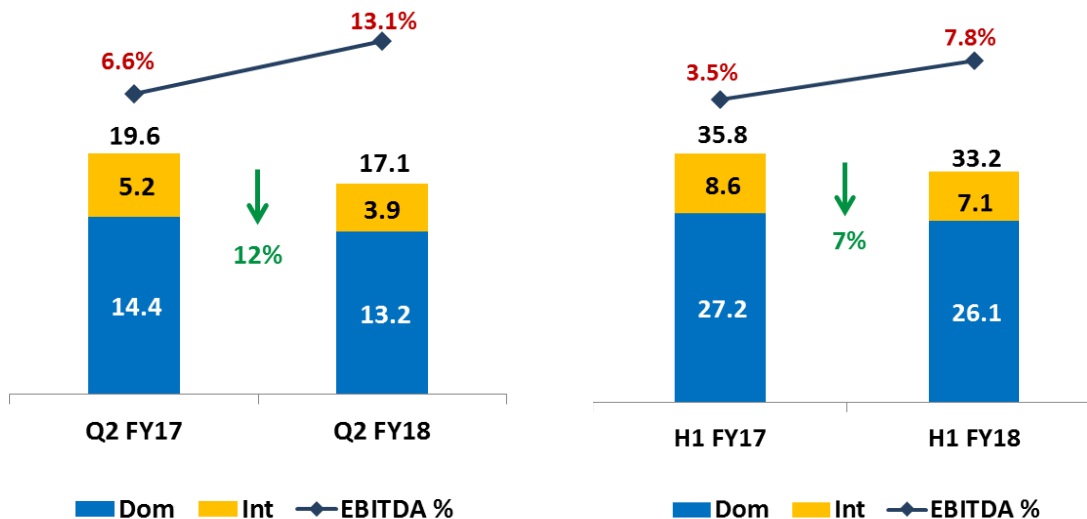
Net Revenue & EBIDTA Margin



- Q2 Growth (12%) in IT Services business (LTI) boosted by BFS, Energy & Utilities, CPG, Retail & Pharma Verticals.
- Q2 Growth (8%) in Tech. Services business (LTTS) led by Transportation and Telecom & Hi-Tech verticals
- LTI and LTTS focus on stability of earnings while managing growth

Amount in ₹bn

Net Revenue & EBITDA Margin



- Segment constitutes Metallurgical & Material Handling (MMH), Industrial Products & Machinery (IPM), Realty and Shipbuilding (SHBD) businesses
- Revenues affected by lower offtake in Realty and Valves businesses
- Realty business slowed down due to RERA, delayed approvals and demonetisation measures
- MMH and CMB contribute to margin recovery

L&T Finance Holdings (I-GAAP)

Q2 FY17	Q2 FY18	% Var	₹ Bn	H1 FY17	H1 FY18	% Var
74.6	88.2	18%	Networth	74.6	88.2	18%
549.3	655.1	19%	Consolidated Debt (incl. Pref Cap)	549.3	655.1	19%
609.0	723.5	19%	Loans and Advances	609.0	723.5	19%
326.7	527.5	61%	Mutual Fund Average AUM	326.7	527.5	61%
8.1%	3.3%	-478 bps	Net NPA (%)	8.1%	3.3%	-478 bps
21.4	25.0	16%	Total Income	41.7	48.6	16%
2.2	3.3	53%	PAT attributable to Equity Shareholders	3.9	6.1	56%

- Healthy disbursement growth in lending business and rising AUM in Investment Management
- Portfolio rationalisation yielding results; higher share of Fee earnings
- Thrust on asset quality, growth of focused businesses and targeted ROE



L&T Overview

Business Overview

Group Performance

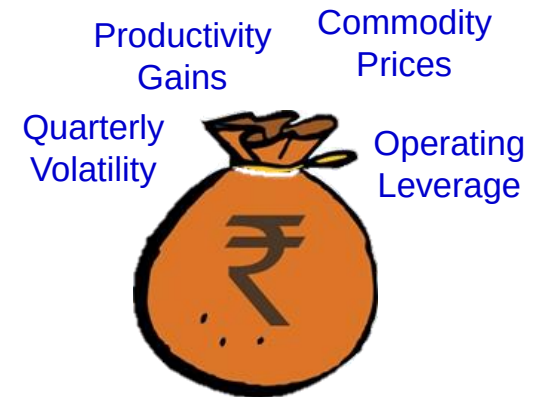
The Environment & the Outlook



Order Inflows



Revenues



Margins

Thank You

Annexures

Group Profit & Loss Extracts

₹ Billion	IT & TS	Fin. Services	Devl. Projects	L&T & Others (Incl. Eliminations)	L&T Group		
					H1 FY18	H1 FY17	% Var
Income from Operations	52.4	47.1	20.5	384.4	504.4	469.0	8%
EBITDA	10.7	5.1	3.5	30.9	50.2	42.0	19%
Other Income	0.6	1.8	0.0	5.4	7.9	7.6	4%
Interest Expenses	(0.1)	(0.0)	(0.0)	(7.5)	(7.6)	(6.6)	14%
Depreciation	(1.1)	(0.3)	(0.3)	(8.2)	(9.8)	(9.2)	6%
Provision for Taxes	(2.5)	(0.3)	(0.7)	(6.6)	(10.0)	(12.3)	-18%
Share in profit/(loss) of JVs / Associates	-	0.0	(1.3)	(0.2)	(1.5)	(3.3)	
Adjustments for non -controlling interest in Subs., etc.	(1.1)	(2.4)	0.2	(0.1)	(3.4)	(1.7)	
Exceptional Items	-	-	-	1.4	1.4	4.0	-66%
Net PAT	6.5	3.9	1.4	15.2	27.1	20.4	33%

₹ Billion	Sep-17	Mar-17	Incr / (Decr)
Equity & Reserves	508	502	6
Non Controlling Interest	42	36	6
Borrowings - Financial Services	677	631	46
Development Projects	167	150	17
Others	185	159	25
Sources of Funds	1,578	1,478	100
Fixed Assets (Tangible/Intangible/Goodwill)	148	150	(2)
Loans towards Financing Activities	674	625	49
Intangibles under development (incl. Investment Property)	165	150	15
Finance lease receivable	94	95	(1)
Other Non-Current Assets (net)	127	121	6
Current Investments, Cash & Cash Equivalents	176	176	0
Working Capital	194	160	34
Application of Funds	1,578	1,478	100

Q2 FY17	H1 FY17	₹ Billion	Q2 FY18	H1 FY18
22.8	42.9	Operating Profit	30.3	51.6
22.1	(1.2)	Changes in Working Capital	(12.1)	(22.2)
(9.9)	(15.9)	Direct Taxes paid	(9.5)	(17.3)
35.0	25.8	Net Cash from Operations (A)	8.7	12.1
(1.2)	(7.6)	Investments in Fixed Assets (Net)	(4.5)	(6.6)
(4.1)	(7.6)	Investment in Intangibles under development	(3.0)	(7.4)
(6.9)	(22.6)	Net Purchase of Long Term & Curr. Inv.	11.5	(6.8)
(0.5)	(2.1)	Loans/Deposits made with JV/Associate Cos.	(0.8)	(3.4)
8.1	8.9	Interest & Dividend Received & Others	5.5	5.6
(4.6)	(31.0)	Net Cash from/(used in) Invest. Act. (B)	8.7	(18.6)
20.4	20.6	Issue of Share Capital / Minority	(1.5)	2.6
(5.4)	26.5	Net Borrowings	51.7	82.8
(15.9)	(13.5)	Disbursements towards financing activities*	(37.7)	(48.6)
(24.6)	(31.5)	Interest & Dividend paid	(29.5)	(36.1)
(25.6)	2.0	Net Cash from Financing Activities (C)	(17.1)	0.7
4.8	(3.1)	Net (Dec) / Inc in Cash & Bank (A+B+C)	0.3	(5.8)

* included under Net Cash from operations under statutory financial statements

Share in Profit/ (Loss) of JVs/Associates

Q2 FY17	H1 FY17	₹ Bn	Q2 FY18	H1 FY18
0.33	0.59	MHPS JVs	0.33	0.77
(1.34)	(2.94)	IDPL & Subs.	(0.92)	(1.33)
(0.48)	(0.91)	Special Steels and Heavy Forgings	(0.50)	(1.01)
(0.08)	(0.05)	Others	(0.02)	0.10
(1.57)	(3.30)	Total	(1.11)	(1.48)

Other Comprehensive Income (OCI)

45

Amount in ₹bn

Q2 FY17	H1 FY17	Changes arising out of	Q2 FY18	H1 FY18
(0.39)	(0.42)	Re-measurement of defined benefit plans for employees	(0.11)	(0.24)
0.50	0.31	MTM of investment in Debt instruments	(0.05)	(0.01)
(0.33)	(0.29)	Foreign Currency Translation Reserve	0.17	0.40
1.05	0.03	Hedging Reserve	(0.46)	0.96
0.83	(0.36)	Total	(0.45)	1.11



Roads and Bridges:
Portfolio: 15 projects (1661 Km)
13 Operational
Project Cost: ₹ 161 bn



Transmission Lines:
Portfolio: 1 project (482 Km)
- Operational
Project Cost: ₹ 15 bn

Balance Equity Commitment
(Sep 2017): ₹ 12 Bn

Equity Invested at SPV level
(Sep 2017): ₹ 92 Bn

Total Project Cost
(Sep 2017): ₹ 478 Bn



Ports:
Portfolio: 2 projects (18 MTPA)
- Operational
Project Cost: ₹ 20 bn



Power (Excl. Projects under DPR):
Portfolio: 2 projects (1499 MW)
1 Operational
Project Cost: ₹ 112 bn



Metros:
Portfolio: 1 project (71.16 Km)
- Under-implementation
Project Cost (Fin. Closure): ₹ 170 bn

Major Opportunities

Roads & Highways - NH & SH - Special Bridges - Tunnels - Expressways - Elevated Corridors	Railways - Metros - DFCC (next phases) - Station redevelopment	Water - Lift Irrigation schemes - Water Treatment (Incl. Desal) - Effluent & Waste water Treatment (Incl. Namami Gange) - Inland Waterways
Smart World & Comm. - Surveillance systems - Optical fiber layout - Traffic mgmt system - Smart Grid - Wifi enabled	Power T&D - Various countries in ME - High voltage lines - Green Energy corridors - Solar EPC	Building & Factories - Airports - Hospitals & Medical Colleges - Affordable housing - Hospitality
Defence & Aerospace (Incl. Shipbuilding) - Landing Platform Docks - Gun programs - Submarines - Make Programs (TCS, BMS, FICV)	Hydrocarbon - Saudi Aramco capex (ME) - Kuwait Oil Co. capex (ME) - Refinery fuel upgrade (IN) - Planned mega refinery (IN) - East Africa (Algeria, etc) - Fertilizer plants - Oil & Gas Pipelines	Nuclear Power - Indigenous tech plants - Russian based plants - Steam generators